

27 KEY #5: BE PATIENT

A smart investor will keep some cash on hand for emergencies so that he or she doesn't have to borrow, no matter what the economy is doing. As a general rule though, only about 5 to 10 percent of your investments should be in cash or near-cash type investments. These include bonds, certificates of deposit, treasury bills, and money market funds.

It's important to get your money working for you, but patience will help avoid a great many errors. Remember that most investments look good initially, even the bad ones.

I have never heard of anyone advertising an investment as a really bad deal. Most salesmen think their deal is the best and sincerely believe in their products. It's up to you to sort out the good from the bad.

You must know what your goals and objectives are and only select the investments that help to meet them. Remember this little cliché: greed and speed often work together, so a key to avoiding greed is patience. Most get-rich-quick schemes rely on greed and quick decisions. In fact, there are three basic elements associated with any get-rich-quick scheme:

(1) *Attract people who don't know what they're doing.* When you invest in areas that you know nothing about, it's difficult to evaluate a good or bad investment. Christians are often very gullible and prone to follow the recommendations of other Christians who don't know what they're doing either.

(2) *Encourage people to risk money they cannot afford to lose.* Most people are more cautious with money they have earned than with money they borrow. Borrowed money comes so easy that it's easy to risk.

(3) *Attract people who will make investment decisions on the spot.* That's why so many get-rich-quick plans rely on group meetings and a lot of emotional hype. One principle I have found that works is if you hear of a deal that sounds so good you don't want to wait and pray about it, pass it up. Good investments are rare and seldom flashy.

I remember a young computer salesman named Chad who